

DBS Group Holdings Ltd SGX:D05

FQ2 2026 Earnings Call Transcripts

Thursday, August 6, 2026 3:30 AM GMT

S&P Global Market Intelligence Estimates

	-FQ2 2026-			-FQ3 2026-	-FY 2026-		-FY 2027-
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS	CONSENSUS	GUIDANCE	CONSENSUS
EPS Normalized	1.02	1.08	▲ 5.88	1.03	3.98	NA	NA
Revenue (mm)	5977.47	6093.00	▲ 1.93	6137.72	23704.00	NA	NA

Currency: SGD
Consensus as of Aug-06-2026 4:57 AM GMT

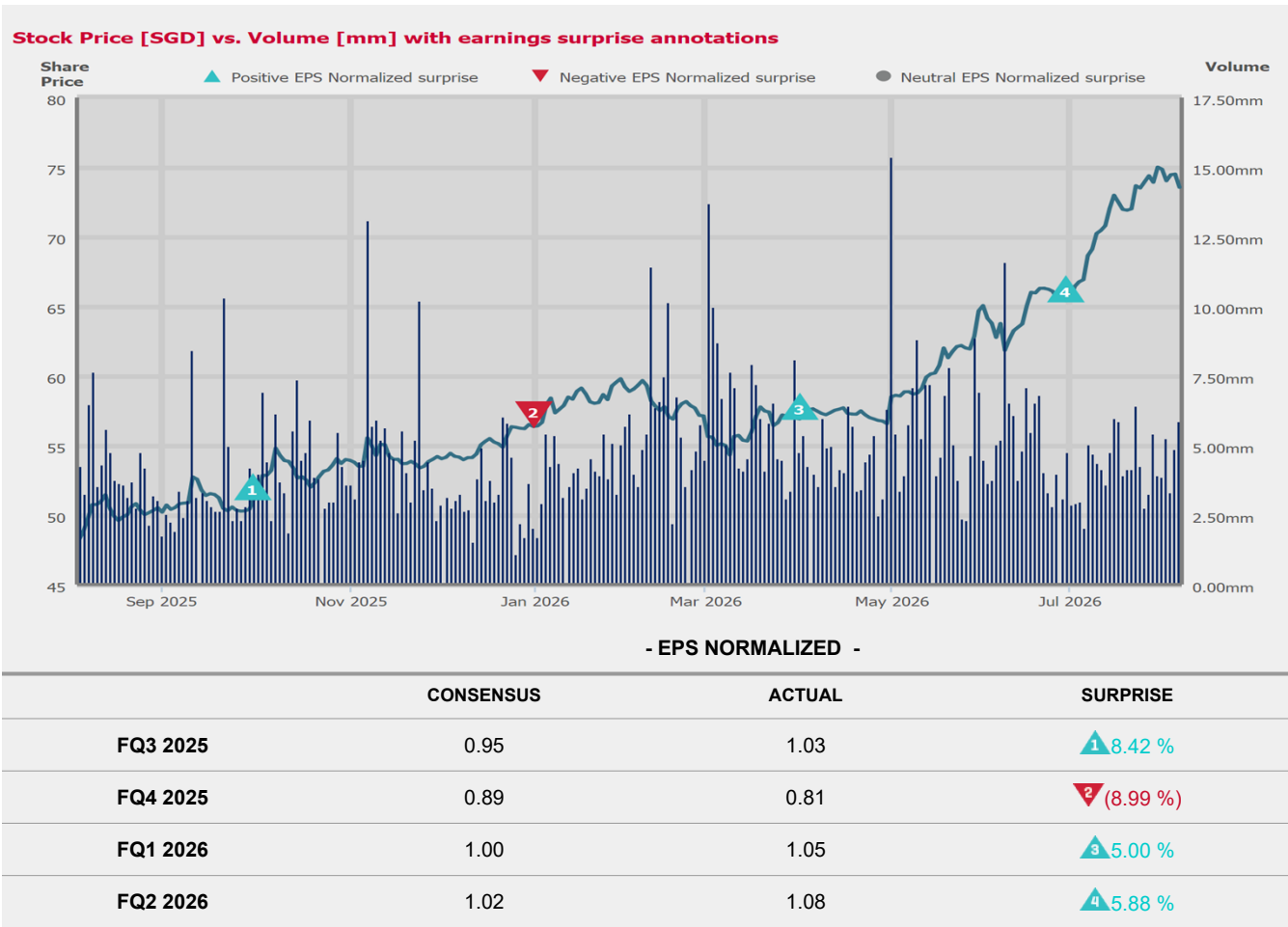


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Call Participants

EXECUTIVES

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Group Corporate Treasurer

Sok Hui Lim
Chief Financial Officer

Su Shan Tan
Group CEO & Executive Director

Unknown Executive

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Wei Yi Kuang
Goldman Sachs Group, Inc., Research Division

Yong Hong Tan
Citigroup Inc., Research Division

Presentation

Unknown Executive

Okay. Hi, everyone. You would have had the media briefing. So as usual, we'll just go straight to Q&A.

Question and Answer

Unknown Executive

So first question from Yong Hong from Citi.

Yong Hong Tan

Citigroup Inc., Research Division

Can you hear me?

Unknown Executive

Yes.

Yong Hong Tan

Citigroup Inc., Research Division

This is Yong Hong from Citi. So just 3 questions, just asking about Wealth. My first question is on your 1 billion AUM target. That implies that the well AUM can grow at 11% CAGR through 2030. So could you share some color on the net new money with the migration from [indiscernible] versus the impact the market impact assumption for this? That is my first question.

Su Shan Tan

Group CEO & Executive Director

Okay. I'll kick off and Sok Hui follow. So when Sok Hui said \$1 trillion, he said total wealth, including retail wealth, right? So the current figure for the wealth, including treasure, searches private line and PB is [516 billion], right? And if you need to know the retail figure, the retail figure is [160 billion]. So in total, we include retail, the total figure and retail is 30,000 and above, then the total figure today [680 million]. So we've been compounding at about 8% growth for the wealth site every year. We can add more effort and push it up. Let's see.

And then the retail side, there's been also snowballing and growing quite nicely. There's a few levers that Sok Hui and the team are pushing from the digital wealth, regular plan, CDP, CPF, et cetera, et cetera. So there's a lot of levers we can pull. Taiwan also, that's a few [indiscernible] that we're pulling, upgrading our wealth type there, et cetera.

So we it's optimistic, but not unrealistic, right? It's doable. We have the ambition, and we're just going to execute to it. Is it good?

Unknown Executive

Yes. I mean so building on what Su Shan has said, so if you look at it, it's 680 billion today as of half year this year, right? So the \$1 trillion target we're setting for ourselves is by end of 2030. So again, I'm not going to say that it's easy but it is something that is quite doable. If we continue on the kind of traction trajectory that we have been making.

So just for discussion sake. I mean, if you look at it at 680, 680 our net new money. Our net new money only covering treasuries, TPC and PV have been consistently above \$40 billion per annum now. So if we're talking about another 4 full years from '27, '28, '29, '30, or else equal, same time of tractor, the uplift of about \$160 billion without even adding retail, right? \$160 billion, so \$160 billion if you think about [\$680 million at \$160 million] right? [indiscernible] So the \$1 trillion plus another [160 million].

Really, if you look at the way our AUM have grown, it's always been a function of both net new money as well as the cash translated to investments and when market moves, right? So far, AUM growth has been a function of these 2. So all else equal in 4.5 years from now, as we said, nothing is a walk in the park, right? We all still need to work hard at it, but it's not something that is so out of whack that we don't think is achievable.

Then building on what Su Shan has said, of course, there are quite a number of levers that we pushing, pulling. We have seen actually quite good traction when we relaunched [RTG] wealth last year for the retail space. Just not even having any RMs of human beings, but simply using technology, AI and nudging, the uptick has been very, very encouraging of customers now getting into investments, getting into insurance. And at the same time, proactively contacting us to say that they were the top [indiscernible], for example, about their financial planning, including insurance.

So this ability for us to use AI use technology to harmonize what we have said from a kind of digital approach, right, of having both human beings and technology is very, very real.

Yong Hong Tan

Citigroup Inc., Research Division

Okay. Let me just pulling out on that and assuming we can get to the power of growing at 10% CAGR. How should the cost-to-income ratio like over the next 5 years? Because if you think about cost-to-income ratio at 40%, then OpEx growth should be at about 10% on a CAGR as well just doing the calculation mathematically. So just wondering if this is the right pace of growth rate to think about OpEx?

Su Shan Tan

Group CEO & Executive Director

Are you looking at the whole bank or just the wealth business?

Yong Hong Tan

Citigroup Inc., Research Division

For the whole bank on a group perspective.

Su Shan Tan

Group CEO & Executive Director

Okay. So in the near term, we've been able to keep our expense growth at circa 4%, sometimes slightly below, but it's been quite stable. And we are able to also keep the structural growth engines firing. So we're still hiring. So it's not that we're not hiring. And we're sending our people to go up the curve to do more to go, which means you have to pay them more, right? They do more, you pay them more. So they're also getting more CVM more productive or scale, et cetera.

But I think with the [indiscernible] tools, they can do more, right? And that's the point. I mean, all my managers, myself, my team, their management team, they're all expecting their teams to do more with the tools that they have. And a lot of it is also reskilling quite a lot of our old staff into higher order jobs, right? So if you used to be a level 1 production engineer, you now learn to become a level 2 production engineer and a wealth tech engineer for that, right? So that means you have to then do a know that you are management and you've got to do keep going using AI on tech.

So that means we have to train them and it takes time to train down, but when we train them, they become more productive, and they get paid for, but they are doing a higher for the job, and we haven't changed our head count, right? So we're trying to do more with less people or we are still growing where we need to grow but we're also shrinking where we need to shrink price. So I think I see us being disciplined around costs and trying to keep it at the 40 or 40's figure.

Yong Hong Tan

Citigroup Inc., Research Division

Okay. Okay. Maybe just one final question. Just following up on the media questions. In the context of these China closing [indiscernible] to the 20% tax up in offshore class. Any color on what is the exposure of offshore gas, especially from Mainland China for your group AUM and [indiscernible] extension to that. Any thoughts on where direction China increase on offshore [indiscernible] given the recent development and how [indiscernible].

Unknown Executive

You know -- I understand your question correctly, you're asking what proportion -- well, how much we have in offshore trust? And we feel the impact of all these measures from China is going to be as well.

Su Shan Tan

Group CEO & Executive Director

Okay. I kind of answered it just not at the media. I don't know whether you we're there. The 2 directors, right? One is the [837] directive, which is really more around outbound investments and it affected more of the online [indiscernible] and the other [indiscernible], which affects more of the offshore trust. Our actual amount of trust is actually quite small for China nationals. And on the insurance announcement, there's been nothing official and nothing conclusive yet. So we have to keep our eye on the ball.

But I mentioned that we are building both offshore franchise and onshore franchise, right? And so -- and also, we have always abided by regulations. We are not a fintech that doesn't do reporting. We do all our CRS reporting. We do all our plant declarations, the client has to sign off, et cetera. So we do the right thing. And sometimes, we are handicapped. We are slower to onboard because it takes us longer versus on onshore or online brokerage. So I think this does 2 things. That is equalizes the playing field. It's not bad for lower [indiscernible] like us, plus we are offshore, we are with China. So if wealth stays also the more potential for us to grow our onshore business and our actual exposure [indiscernible] as is relatively small.

Unknown Executive

And if I may just add to that as well. Some of these regulations really are really around the requirement for onshore residents to report and all that for their own personal tax purposes. And as Su Shan mentioned, we are abide by regulations customers will have to do what they have to do. But the reasons and the purposes for which they avail themselves with some of these services, including trust, it's really not just about tax, right? It's also about their own family governance, transition legacy planning and all that.

So in the more holistic solutioning or advice that we offer, not just to Chinese clients, but across the board to Su Shan's point, actually, the proportion is not that big in that sense. But notwithstanding the holistic solutions we bring comes across for all many, many kinds of reasons, okay? So it's not just this particular thing that this particular -- these particular new changes that might affect what they need to kind of declare onshore, right? It's much broader than that.

Unknown Executive

Next question from Nick Lord from Morgan Stanley.

Nicholas Lord

Morgan Stanley, Research Division

A couple of questions for me. Just first of all, I want to come back and just get a little bit more detail on your Wealth Management numbers. I wonder if you could give us the split between invested and deposits in that [517] or whatever it is, [516 billion]. And also any indication you can give us on the split between net new money between deposits and invested assets.

The other question, I'd just like to ask, I mean, just in terms of our fee growth, it does seem that the investment products on fee income was quite high in the quarter, looks to be running at double [8%] normally. So just if there was anything specific on sort of product behavior or investment behavior in the quarter you'd like to call out.

And then just switching on something else on just -- you talked about SRTs, Su Shan, it obviously looks like we're in a higher loan growth environment going forward, which is great news. That's obviously going to consume capital. I noticed your credit risk-weighted assets were up a chunk in the first half. So can you just talk a little bit about how you might use SRTs going forward? And what sort of impact that might have on risk-weighted asset growth versus [indiscernible]?

Su Shan Tan

Group CEO & Executive Director

Okay. We'll take the first question around the split between Wealth Management of what's going into investments. So it went from 58% to 59%. So that was up 1% in the quarter. And when you ask what that the growth? By the way, the growth was interesting, while wealth did extremely well, but it was also an IBG our corporate bank and in SME. So what led the growth fees figure this first half has been equities and equity structures. So like the U.S. investment banks, when you have volatility and opportunity and new IPOs and what have you within the markets that -- whether that's structural or cyclical to be determined. But you will get a boost in both cash equity and equity structured products. So that's been quite strong.

There was also a strong -- very strong double-digit growth in funds. Our CIO has a barbell DPM, and that's been doing very well, growing by double digit. And we've launched on a few discretionary products that were very well received, hedge funds and the like. And also in private equity, we did some pre-IPOs that were also very well received. So that was also strong double-digit growth. In the corporate banking side, it was transaction banking that was -- we had a very strong first quarter last year -- first half last year for syndicated loan so it was our syndicated loan fees were down a bit year-on-year, but it was still quite a strong pipeline. And transaction banking had a strong pipeline. I don't know whether freedoms to weigh in on the fees or there was [ECM] fees and M&A fees as well and origination fees.

Unknown Executive

I think on the IBG side, the growth comes primarily from deepening our relationship with our clients. So when you see the numbers. You see that the transaction services fees are up, I think, by about [indiscernible] year-on-year [indiscernible]. A lot of it comes from what we do on the underlying cash management fees that we get from trade finance. And of course, you get it from [SFS] for the custody fees as well far.

So all that coming through quite nicely. Second quarter, we also saw nice fees from the financing an advisory that we do for [Celcom] acquisition of [Alinta], and that was booked in the second quarter as well.

Su Shan Tan
Group CEO & Executive Director

I forgot to mention back for IBG and CBG had very strong bank sales as well, SME business owners and wealth clients.

Sok Hui Lim
Chief Financial Officer

Nick, where you asking a question about the North fee component as well?

Nicholas Lord
Morgan Stanley, Research Division

Yes. I thought that was about 200 million in the quarter. It's usually 100 million to 130 million, something like that.

Sok Hui Lim
Chief Financial Officer

Yes. So the -- what we call treasury customer sales that I think they are referring to the category. So for a cooking purpose, we will need to split the lines what we take from our own treasury, our own dealing room, they manufacture the product. The products are frankly quite similar, equity structures, equity derivatives that customers want. These are their financial solutions but we can't call them the fees, and it's actually manufactured in our own dealing room. It is manufactured by a third-party bank, then we book it as fees. So that's why that number has also been growing. And in this quarter has been strong growth in the equity derivatives and structured notes, very similar to what you're actually seeing in the demand on the fee side.

Nicholas Lord
Morgan Stanley, Research Division

Are you bringing more products in-house? Is it [indiscernible]?

Sok Hui Lim
Chief Financial Officer

No, we don't break in more products in-house. I think we are on an open platform actually. It's just that more of the products that were taken this quarter, I think, were manufactured in-house because of the equity derivative component.

Nicholas Lord
Morgan Stanley, Research Division

And or [SRTs]?

Su Shan Tan
Group CEO & Executive Director

Okay. Phil will take that.

Philip Fernandez
Group Corporate Treasurer

Yes. Nick, this is Phil. So for the [SRC], business just, I guess, us opening a new product in this market. As you know, we have the first covered bond 20 years ago, and now it's a fairly established feature in the Singapore market. So some a little bit [SRT]. It's just -- it's one tool in the toolbox, right? Obviously, the strict loan sell-down, the syndications, there's various other ways we can manage our credit risk, our credit RWE. But we felt that this was a product that was worth bringing to Singapore. So we spent more than a year actually preparing and doing all the groundwork and ensuring that we could crosses the transaction, talking to investors.

So I think we kind of did a bit of groundbreaking for the market as a whole, which is good. And we'll see how it goes. Obviously, we want to keep a full toolbox of mechanisms for managing our credit RWE and this is one of them.

Nicholas Lord

Morgan Stanley, Research Division

Okay. Cool. Do you sorry, just on credit RWAs, I mean, therefore, would you expect them to grow in line with loans? Or do you think you can manage credit RWA growth below loan growth?

Philip Fernandez

Group Corporate Treasurer

It will be about the same. Essentially, if you look at our past trends, the second quarter was -- showed more loan growth. But if you assume that the risk weight density is relatively constant, then the RWA and the loan growth tend to move in line unless there's a change in mix.

Sok Hui Lim

Chief Financial Officer

I think he's asking with the [SRT].

Philip Fernandez

Group Corporate Treasurer

Well, we will see how that particular product.

Sok Hui Lim

Chief Financial Officer

I depends on many SRTs, we launched 2 per year, and I think that actually benefits the growth trajectory of the RWA.

Nicholas Lord

Morgan Stanley, Research Division

Okay. So you can use it, but we just got to see how much demand is for it and how it takes off as a product.

Philip Fernandez

Group Corporate Treasurer

Exactly.

Unknown Executive

Next question from Melissa from Goldman.

Wei Yi Kuang

Goldman Sachs Group, Inc., Research Division

During the call, you talk a bit about Taiwan and how that will be a growth driver. Maybe can you just share a little bit more details on Taiwan, like how much does that contribute to net new money to AUM? Also on the loan side, how much did that kind of bring in, in terms of the loans? And in that perspective, then how should we kind of look at it going forward? That's my first question.

Then second question, maybe given all this just news on tax and all these. Can you just share again what is the Chinese contribution to net new money? And also on the banker side as well, if you can just share how much banker contributed to well and also how much -- I heard just now you were saying that the banker doesn't include just wealth. It does include some SME. So maybe if you can just help with that idea. It's also that we can understand it a little bit.

And then if I can just ask a -- sorry, just the third question on sensitivity. You mentioned also on the call that you managed to do more hedging this quarter. So just wonder if there's any change to sensitivity for your NIM?

Su Shan Tan

Group CEO & Executive Director

Okay. So there were 3 questions there. One was around Taiwan. One was around net new money by nationality and one on [indiscernible] the backup question, I didn't hear.

Unknown Executive

Some flavor about how much that contributes including SME.

Su Shan Tan

Group CEO & Executive Director

How much it contributes. And the fourth question [indiscernible] okay. So actually unchanged okay. So we -- okay. So in short, we're not -- we don't -- so we don't divert the net new money by nationality. Your question around Taiwan, it's really one where it's structural growth, right? So -- and number one, it's the ecosystem growing for semiconductors for AI, for hardware, and that's a real growth, the [Foxcon] ecosystem, the NVIDIA ecosystem, the TSF ecosystem, the [indiscernible] all cylinders. So the structural growth there is real.

Number two, the wealth, creation is relatively new, but they are all families that the business have been doing the business for a long time. But their wealth creation, some of them, especially AI construct, the well picked up has been very sharp, and now they are needing solutions. It's quite concentrated and it's onshore, so they need onshore solutions. And they also need offshore solutions, right? And then they need planning as well for the next generation, et cetera. In the offshore side, that's the new Kaohsiung Wealth Center, and we set out there. our purchase of [Citi] Taiwan's franchise has been quite timely because with the franchise scheme, both wealth clients [indiscernible] hours, but also a really good high-end credit card franchise that as we use AI and RMs to uncover, we're finding a lot of hidden treasure in that franchise as well. We found some even billionaires and all that who hold our credit cards today, and we can use that as a hope to do more.

We are also experimenting with the use of AI from voice to tax, tax to propensity models at the cards call center to also of a lot of this cards wealth client potential. So good and the team are all of our [indiscernible] all over this both onshore/offshore. We think that we will see strong double digit. We've given that big budgets to grow this year, and we will probably continue to want to put big budgets on them to grow next year. So it's been one of our best-performing markets. That's Taiwan.

China, no, we don't really give net new money by nationality. In [PBTPC], we have 110 different nationalities. So it's very well spread. Do you want to add anything Sok Hui?

Unknown Executive

Yes. I mean, suffice to say that once on the Taiwan piece, in particular, what we have seen very clearly is that after the integration of the city franchise from a couple of years ago, actually, we look at it, it's added additional scale to us on the wealth business as well apart on cards. But more importantly, actually, because of our ability to bring in a holistic investment and insurance solution onshore. What we've discovered is that the same cohort of customers actually more with us than they had done with Citi. So if we look at it, we are way beyond just the pro forma addition of the 2 franchises. We have done a lot better than Citi had it when they had the same customers, right?

Su Shan Tan

Group CEO & Executive Director

[indiscernible].

Unknown Executive

So Banca as a proportion to the total franchise, if you look at them, I will say it's in the range of, let's say, 20-ish percent, right? Yes. Yes, wealthy 20-ish percent, 20-ish percent of wealth.

Su Shan Tan

Group CEO & Executive Director

Yes, it's 20-ish. Correct.

Wei Yi Kuang

Goldman Sachs Group, Inc., Research Division

Then maybe just sensitivity.

Su Shan Tan*Group CEO & Executive Director*

The sensitivity. That hasn't changed. It's still for [indiscernible] plus \$11 million per basis point for U.S. dollars, minus \$4 million per basis point. Do you want to say anything else? Okay. Still the same Melissa.

Unknown Executive

Next question from Aakash, UBS.

Aakash Rawat*UBS Investment Bank, Research Division*

Two sets of questions. The first one is just touching on the China-related regulations again. So I understand you said that you don't share the net new money break by nationality, but I think DBS has said in the past that less than 1/3 of the net new money comes from Chinese clients. I was just wondering, without giving any specifics, can you say within this cohort, how much is main and domiciled clients as opposed to all the offshore Chinese clients. Just some rough idea of what portion is million domicile was not. And have you seen any change in the inflow of this clientele in the past 1 to 2 months? That would be the first question, and maybe I'll ask more after that.

Unknown Executive

[indiscernible], can I just take this question. As we have mentioned earlier on, we do not disclose the details of either nationality, not all domicile. Having said that, within our net new money, as we've guided and Su Shan has talked about, actually, our entire wealth franchise does have both an onshore element and an offshore element. So obviously, if we're talking about kind of our onshore treasures, onshore retail, emerging affluent kind of net new money, right? The net new money would all be onshore, right? Wherever we have an onshore presence, which are in our core markets, right?

Now if we're talking about our offshore wealth franchise, which are predominantly booked in Singapore, Hong Kong, because Singapore, Hong Kong have been traditional international wealth centers like Switzerland, like London, like the U.S. themselves, right, where when we look at the wealth business, there's always kind of set numbers that the world looks at as international well flows into these international centers. Now what I'll say is that for these offshore wells, Actually, these offshore wells have been circulating within the offshore markets.

So in case you're thinking, how much it flow from onshore to offshore, the fact of the matter is that in these offshore markets, the is we are winning market share from other banks from their offshore port. If that's what you're kind of getting to, right? So we are growing both onshore, onshore and offshore, offshore. And those are growing very strongly on multiple fronts.

Aakash Rawat*UBS Investment Bank, Research Division*

Great. I think that's very helpful. Is it possible you share some relative size of the 2 businesses? So how much is the onshore China business versus offshore China business?

Unknown Executive

No, I'm afraid we do not go into that level of detail. But we do have, I would say, a very robust wealth franchise, as you have seen how we have been performing all this time, right?

Aakash Rawat*UBS Investment Bank, Research Division*

Okay. And then on the insurance sales. So again, life savings insurance products, would you have any sense of how much of these sales are to mail and connected clients?

Unknown Executive

Sorry? On what?

Su Shan Tan*Group CEO & Executive Director*

[indiscernible] the bank or sales are to mainland connected clients? We don't break it down.

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Unknown Executive

I mean, again, yes, we don't break it down, but again, suffice to say within each of those markets in which we operate in, there is an insurance offering onshore, right? So whether it is in Singapore, in Hong Kong, in Taiwan, in India, in Indonesia and in China, there are regulated insurance partners that we work with to offer these solutions. And these are all kind of advised distributed booked onshore, right?

And then, of course, in our wealth centers offshore, Likewise, there are insurance solutions, a fair amount of debt also for legacy planning which is not uncommon.

Su Shan Tan

Group CEO & Executive Director

So that's a difference between a DBS and a global bank, right? We are in the 6 core markets in Asia. So we are onshore. And we have onshore partners, and we have branches, we have wealth centers. And we have our apps [indiscernible]. We are the onshore bank and in the in offshore solutions, we're there for them, too.

Aakash Rawat

UBS Investment Bank, Research Division

Right. But can I understand that, and I think I appreciate the comment that you made earlier that if well stays onshore, DBS also has a strong onshore presence to participate into that wealth as opposed to just offshore. But I just wonder, is the nature of the business very different onshore versus offshore. Onshore, I mean, you all know in the Bell management business a lot more competitive, margins would be a lot more tenor. And this would -- if onshore wealth were to stay onshore in the future, the wealth management business for DBS would look very different from what it does today. But that will be a...

Unknown Executive

I wouldn't say so, Aakash, because actually, this has always been the way wealth management has functioned, right? So the difference will be that in many of these onshore markets with the exception of, let's say, Hong Kong, Singapore being international centers that in themselves, right? So the so-called onshore clients in Hong Kong and Singapore already have the ability to access full holistic suite of products and solutions that are international, right? You go to certain other markets the kind of products and solutions might be or the onshore solutions in some of the markets might be somewhat lesser, somewhat lesser because they are subject to whatever is available onshore, right?

But for -- as I've mentioned earlier on, that is still sufficient for us to tap into the onshore wealth opportunities, and we have seen that growing actually across all our onshore [indiscernible] franchise, right? But within the offshore ones, as it's always operated, would it be very different. I mean if you look at what the market says, right, between Singapore, Hong Kong, international wealth itself is today already \$5 trillion, right, of AUM, growing at the fastest pace, even faster than Switzerland. And by 2030, this \$5 trillion will be about \$7.9 trillion.

So the offshore, offshore proposition has always been there continues to grow. The onshore, onshore has always been there and it's also growing in our core markets. Asia is generating a lot of wealth and Asia is attracting a lot of wealth coming in.

Su Shan Tan

Group CEO & Executive Director

So Aakash, I think it will grow, right? And we're ready for that growth. I think we got products like the mutually recognized -- mutually recognized fund product, which is MRF. We've got funding SIPs. We have DBS Securities onshore. We are active in onshore insurance policies. So I think you need to build both, right, to be a holistic wealth offer in Asia, you need to build both, and that's exactly what we've been doing. So that gives us a diversified client mix. So if one channel goes down, the other goes up, right? That gives us a diversified client mix.

And I think a brand name like DBS in China has a good chance of success because we were not involved in any of the trust products where customers lost a lot of money. We've stayed away from selling CDOs and CDS, et cetera, we've been pretty holistic in our wealth offerings onshore. And we've gotten a good reputation for being a safe bank and a smart bank and a digital bank. So I think we have upside onshore, which is why [Zuken] and his team are building wealth centers in China. And if -- and the money stays onshore, there's no property to buy not buying properties, then they will be looking for wealth solutions. So I see upside bank, and we're building for it.

Unknown Executive

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Clearly, we're doing it, not just in China, all right? These wealth centers I've clearly hold the market, right, that we are building 18 additional wealth centers and upgrading another 36 existing ones. Now these are actually across all our core markets, right? So in Singapore, even in Singapore. So Singapore, Hong Kong, Taiwan, China, Indonesia, India, we are kind of doing that, right? So we are hiring, we are putting technology that enable them. And we are also adding new as well as upgrading existing wealth centers.

Aakash Rawat

UBS Investment Bank, Research Division

Got it. I think that's very helpful. I just have one related question. So Su Shan, I think with all this complexity and uncertainty in the Hong Kong, China, corridor. I mean, DBS does look very well positioned. Are you starting to see any net new money benefits because of all these challenging headwinds in the North?

Su Shan Tan

Group CEO & Executive Director

Net new money benefits for what?

Aakash Rawat

UBS Investment Bank, Research Division

For the DBS Wealth Management business because the whole Hong Kong China corridor is so complex now. Is DBS net beneficiary of all that? Like instead of money going to standard [HSBC] in Hong Kong is coming to DBS simply put.

Unknown Executive

I think suffice to say, I don't think I will look at it from just this single ends, right? But I'll look at it really from a much broader lens, which is the reason we are quietly confident about the wealth opportunity, which is the fact that, number one, there's a lot of wells being created in Asia.

Number two, we are also seeing interestingly a lot of interest in Asia even from customers outside of Asia, right, namely from European countries, from the Middle East, et cetera. And that goes to what I mentioned earlier on that the \$5 trillion looks like it's going to grow to \$7.9 trillion, right? And this is about international wealth. Over and above the domestic or should I say, Asian wealth that's being created. So I look at it from that lens.

And the way we get DBS. I think DBS benefits from the fact that -- we are an Asian headquartered Asian headquartered bank and the headquarter is in Singapore, where we are known to exercise the rule of law, stability, et cetera, et cetera, et cetera. And that's -- I guess that's the reason why we have been named by Euro [indiscernible], right, as the best private bank in the world and safest private bank and on top of the other [indiscernible] we have won from Global Finance and Euromoney over the years as a bank at large. So I do think we benefit from that.

We have also kind of won best innovation bank, et cetera. So I think it's a sum total of many of these factors where any macro trends, I would say whether it is some of these that you talk about or the or the geopolitics instability in the world, et cetera. We tend to see DBS benefit because of also the Singapore brand.

Su Shan Tan

Group CEO & Executive Director

And also, I think the differentiator for DPS is the One Bank Solution. So our corporate bankers are very much part of the business growth, the supply chain diversification the connectivity opportunities in South, Southeast Asia, et cetera. So being there to connect that business growth means that you then have a front seat or early start in the Wealth Management as well.

So our team worked together, they hunt impacts. And so if we're helping corporate clients grow in Southeast Asia, South Asia, or elsewhere, that's always opportunities offshore as well.

Unknown Executive

Okay. I think we have to move on. So next question from Jayden from Macquarie.

Jayden Vantarakis

Macquarie Research

Just on the capital management side. I think, obviously, the business is in great shape, and you've increased the guidance. Now the \$0.15 special capital return dividends, if I understood correctly, they'll sort of come through this year and then next year. Any thoughts on being able to sustain it longer or even think about a revised sort of dividend path because it does sound like the outlook for the business is actually very strong. We'll be keen for your thoughts on this.

Sok Hui Lim
Chief Financial Officer

Thank you very much, Jayden. So if you look at the capital return dividend, we set it up because we wanted to return excess dividend. And by definition, the excess dividend should be a finite amount. So I think we'll continue to calibrate. But I would say that we do not sort of intend to sort of keep it as a continual feature of our capital management.

Jayden Vantarakis
Macquarie Research

Okay. And if I may ask a follow-up question, Sok Hui, I think there is a buyback obviously. Can you sort of remind us how much is remaining of the funds that were set aside for the buyback? And I guess, what the current sort of expiry dates for that would be?

Sok Hui Lim
Chief Financial Officer

Yes. So we set up to sort of do a \$3 billion share buyback. And to date, we've done \$0.4 billion. So there's \$2.6 billion that's unutilized, and the time frame is end of 2027, as we originally communicated. And we think that at this kind of price to book it's a bit challenging to go and do share buyback. We have better deployment of the capital. And so we are thinking and is subject to board discussion, board approval, and we still have 1.5 years to go before we make the decision. But it is possible that we may, if -- we don't sort of utilize the \$2.6 billion were converted into a capital return dividend as well because those are all excess dividend that we had calibrated to be paid out but it's not back to further discussions at the board level.

Unknown Executive

Next question from Sukriti from Bank of America.

Sukriti Bansal
BofA Securities, Research Division

Can you hear me?

Su Shan Tan
Group CEO & Executive Director

Yes.

Sukriti Bansal
BofA Securities, Research Division

Just one follow-up on Wealth Management and one quick question on loan growth. On wealth management, of course, we've had many standout years now. Looking ahead, when we think about growth. You mentioned the -- over the next few years, we could continue to see net new money at [\$40 billion] plus. But overall, on the fee side, how are you seeing trends there is competition or will that fee momentum also continue to support the wealth expansion? Or do you think at some point that fee momentum kind of stays where details a little bit. And most of the growth will be supported from here from the offshore booking centers? Or is it more broad-based across offshore and onshore?

Su Shan Tan
Group CEO & Executive Director

Okay. We'll take it and then I'll consolate the loan growth side, [indiscernible], we'll take that, and then Sok Hui could amplify find my answers. So fee growth is a function of a few things, right? Number one, it's a function of the market. The good thing is global markets don't tend to move together. Sometimes U.S. goes up, Asia goes down, Asia goes up U.S. goes down. [indiscernible] go down, some of the stocks go up, right? Gold goes up, whatever.

So the good news is the fee income is cyclical. This market dependent, but it is if you are not just geared to a single stop or single country or single product, if you have a diversified offering, you should -- you will have some volatility, but you should still have growth.

Then the second component of fee income is obviously a number of customers, right, and net new money. If you continue to grow that, you should continue to grow your fee income in line with your new clients and your new net money net new money.

The third component is new to product, right? So sometimes, clients start with one product and they buy another one or they invest another one, et cetera. So the velocity of that sort of inclination to new products also helps. Then the fourth component is AI, right? Because your productivity is as good as your tools and your people and your ideation. And can AI help all 3? Yes. AI can help on ideation. AI can help you not your customers. AI can help you inform your RMs and your investment [indiscernible], AI can help you fulfill trades. And so if you use AI smartly along the customer wealth journey, you can also use AI [indiscernible] your fee income.

So these 4 things taken together should mean that if you have a holistic grounding for your wealth clients and you are able to give them ideas. You can asset we allocate, you got to shift with the markets. You help them make money and you keep them safe when the chips are down. and you keep them diversified and you keep the portfolios healthy, you will gain market share. And that's what we intend to do. We intend to gain market share, right? Sok Hui and the team have a lot of ambition to gain market share. The good news is as for at the level we are. The gap between us and #1 and 2 is still very big. And those growth is still matter. So we still have a lot of white space that we need to cover, and the team is working very hard to cover that white space growth. Sok Hui, do you want to amplify that?

Unknown Executive

Yes. Yes, thank you, Su Shan. I think on the fee side, right? To Su Shan's point, a lot of that also has to do with diversification of the various investments, insurance solutions. So suffice to say that we have today already put on a pretty comprehensive suite, right, our products and services. So whichever way the market goes, I do think that we have sufficient solutions, and we have seen how customers rotate in and out as well. At the same time, likewise, the way we are building out these fees, right, also has an element which will be kind of recurring.

There are also those that I would say are episodic or some that are not necessarily episodic, but it's still the ongoing distribution kind of fees. So there are multiple levers or should I say multiple kind of drivers that contribute to this fee income. So I do think that is something we can continue to sustain with volumes as well.

Then what is onshore, offshore, I would say, yes, actually both, right? As I alluded to earlier on, we do have a full suite of onshore products and services, likewise, the offshore ones. So I don't see anything imminent, right, that is going to suggest a different kind of trajectory in that sense.

Sukriti Bansal

BofA Securities, Research Division

Understood. Sir, just one quick follow-up on the Wealth side. On the offshore booking centers -- sorry, onshore booking centers, you mentioned the 6 key markets where you are expanding the number and growing it to 18. But are there any new markets that you may be looking at as well within Asia, we do have markets like Korea where is also growing. I know you did a partnership with Samsung there recently. But is there any thought process to expand to more pockets?

Unknown Executive

Okay? So there is no plan to open up in new markets per se, right? Like what we have in our core markets now, right, the 6 core markets plus what we have in Thailand, right, which is secure this business. So it's a 6 plus 1. No immediate thought about any of that kind of onshore, onshore expansion. When I mentioned earlier on the wealth centers, right? These are all wealth centers within these markets. So 18 new ones that we're adding, as I've mentioned, even in our own home base in Singapore, we're going to add some. And then we have some existing ones, 36 of them, which we will upgrade right as well. So that's what we're trying to do, right? But no new entry market in that sense, right?

Unknown Executive

So last question from Wai-Fai from HSBC. Wai-Fai? We can hear Wai-Fai. You want to drop me an e-mail or text Wai-Fai. Maybe in the meantime, I think there's one follow-up question from Yong Hong.

Su Shan Tan

Group CEO & Executive Director

Yong Hong are you there?

Yong Hong Tan
Citigroup Inc., Research Division

Can you hear me?

Su Shan Tan
Group CEO & Executive Director

Yes.

Yong Hong Tan
Citigroup Inc., Research Division

Maybe just a follow-up on loans. That was very strong. Could we get some color on the key drivers, how sustainable that is? And also some thoughts on how your risk management about these loans, especially around the [indiscernible] just in case, basically in the next few years, the spending from the digital sectors normalized in the years to come.

Unknown Executive

Yong Hong, thanks for the question. As you saw in the second quarter for our non-trade loans is very strong. And if you unpeel that essentially [4 billion] is what we would normally do based on the underlying security that we see from our clients, the penetration. And then there is the opportunistic growth that we saw in the second quarter of about \$6 billion.

Half of that comes from the [indiscernible] complete acquisition, which we did to bridge financing for them. And then there is also the opportunity that we saw from the whole [GRS] financing on real estate in Singapore, but it's a fair number of loans generated there. On the side, it's actually a lot of what we call short-term financing. It's the short-term loans taken up by the customers in Taiwan. And then there's a little bit of DC financing and Singapore and a small project in the U. S.

In terms of what we do on data center, the number is not large. We're involved in a lot of underwriting and then we typically sell down a huge change, and that's where we made the fees out of it. And so all of our data center financing are very well structured. Yes, triple net leases for those in the U.S. with no preterm. And so the color parties are very strong on the underlying on the take up. And so not too much concern around that.

So overall, the momentum goes with what we see in the general macro which is some of it in AI, some of it in ERI, real estate, primarily in Singapore. And then we were also supporting our clients and other acquisitions that we do in the aircraft leasing industry.

Yong Hong Tan
Citigroup Inc., Research Division

Yes. Then on the sustainability part, should we be expecting this kind of growth run rate for the rest of the year and maybe even into next year, just based on the pipeline?

Unknown Executive

Yes. I think the underlying growth momentum, we are looking for somewhere between [5%] every quarter and the steady state that we're aiming for. The repayments that we can't predict. And so when you look at repayment itself, there will be repayment from customers where they saw some of the higher loan rates that they get. And as a result of that, some repayments could be vary. We do have some line of sight for some that has already come in. And so the growth itself will be essentially be dependent on the rate of repayment because the [indiscernible] and then the acquisition one, they come and come and we will [indiscernible].

Unknown Executive

[indiscernible] just 2 questions. One is to comment on the wealth management momentum in July. And the other is how to think about potential GP [indiscernible].

Su Shan Tan
Group CEO & Executive Director

Our momentum was okay in July, right? It was quite well spread. [indiscernible] is okay, still up on the year. We shouldn't give the numbers yet enough, but it was pretty decent across the board.

Unknown Executive

Yes, yes. I think it's a fairly -- yes, I'll say fairly Yes, robust within the expectations.

Su Shan Tan

Group CEO & Executive Director

On GP?

Sok Hui Lim

Chief Financial Officer

I think you asked a write back. I think we sort of continue to stress test our portfolio. I think the macro environment is quite uncertain. And I think we have always taken a prudent approach to anticipate what might be needed. So you heard that we have taken sort of general provisions ahead of Hong Kong real estate and then they will all pay back, and so we released some general provision. So that tells you that we have always taken a more prudent approach. And therefore, we'll continue to stress test and depending on external environment, which continues to be very unpredictable that will guide us on a decision of what GPs we can release.

Unknown Executive

Okay. I think that's it for the call. We've come to the end. So thank you, everyone, for joining. We will speak to you again next quarter.

Su Shan Tan

Group CEO & Executive Director

Thank you. Thank you, everyone.

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